June 14, 2021

CASE 19-G-0309 and 19-G-0310

- Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.
- Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service

Sane Energy Project's Reply Statement to Statements in Support to the Joint Proposal

Introduction

By this letter, Sane Energy Project ("Sane") respectfully requests that your Honors recommend to the Public Service Commission ("the Commission") to reject the Joint Proposal ("JP") in the above referenced proceedings filed with the Commission's Secretary on May 14, 2021 by the Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY'), KeySpan Gas East Corporation d/b/a National Grid ("KEDLI') (KEDNY and KEDLI are collectively referred to as the "Companies") and the Department of Public Service Staff ("Staff").

In a case with unprecedented participation[1], where there is far more opposition than support[2], it is important to note that of the very small number of Parties that did support the JP, the only environmental group and renewable energy trade group that signed on had to qualify their support, saying the JP did not go far enough to comply with New York State and New York City climate laws.

The Environmental Defense Fund ("EDF") said, "There is an outstanding and urgent need to align gas utility operations with the Climate Leadership and Community Protection Act ("CLCPA"), its implementing policies, and New York City Local Law 97." [3] NY-GEO said New York State is "not on track" to meet the legally mandated goals of the CLCPA and "The terms of this rate case fall far short of the reductions in billed gas usage that need to start as part of meeting the 40% reduction in GHGs by 2030."[4]

[1] There are 90 parties to this case and 8298 public comments compared to National Grid's 2016 rate case which had only 34 parties and 1457 public comments
[2] 24 Statements in opposition; 5 statements in support (as of 6/12)
[3] EDF Statement in Support Page 3
[4] NY Geo Statement in Support Page 2

Every other environmental organization[5], particularly those who work with local communities that will be directly impacted by the investments proposed in this case, strongly oppose the JP.

It is also important to note that two of KEDNY's largest customers, the City of New York and Spring Creek Towers oppose the JP, and that recent comments from ratepayers at the public hearings on the JP were overwhelmingly against approving the proposal.

Our reply statement primarily focuses on responding to the only two parties who full heartedly support this proposal, Staff and the Companies, and their assertions that the JP has "broad and diverse support", is in the public interest, that we can only achieve the few saving graces of this disastrous proposal through the JP, that this proposal is a departure from "business as usual" aka fueling the climate crisis, and the need for Long-Term Capacity Projects.

Reply to National Grid

Taking advantage of delay

The Companies begin its statement in support by emphasising the unusual length of this case saying "The JP is the product of more than *two years* of rate case proceedings and negotiations, and the parties supporting the JP represent a broad range of customer, environmental, and energy policy interests."[6]

It was the Companies' own harmful moratorium to create political pressure[7] for the widely opposed Williams Northeast Supply Enhancement (NESE) Pipeline that originally ended the first round of negotiations in 2019 and after the entire case was litigated in 2020 it was the Companies & the Staff's request to re-open negotiations. The Company then requested extension after extension[8].

And if the JP is approved, it will be the Companies that will financially benefit from the extraordinary delay.

The extraordinary delay allowed them to finish construction on phases 1 & 4 of the contested Metropolitan Reliability Infrastructure (MRI) Pipeline and if the JP is approved the Companies will be able to recover almost $129million for the MRI Pipeline, $3,406,000 for new LNG Vaporizes 13 & 14 and hundreds of thousands more for other contested long term capacity projects[9], while baking in the "need" for additional projects that they will recoup tens of millions of dollars for though surcharges[10].

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[5] Sane, Alliance for a Green Economy, Newtown Creek Alliance and All Our Energy
[6] National Grid Statement in Support Page 1
[7] https://readsludge.com/2019/07/09/national-grid-presses-customers-to-help-it-lobby-for-a-new-fracked-gas-pipeline/
[8] October 23, 2020; February 8, 2021; March 24, 2021; May 7, 2021;
[9] JP Appendix 1, Schedule 5, Page 1
[10] JP Page 42, Section 5.3

The extraordinary delay also allowed the Companies to start and in some cases complete construction on three contested Compressed Natural Gas (CNG) projects on Long Island which the Companies would get $2,976,000[11] of rate recovery for in the base rate and the rest through the Demand Capacity Surcharge Mechanism[12]. According to the Companies Second Supplemental GIOP testimony the two new CNG facilities in Barrett and Inwood will each cost "approximately $1 million in FY 2020 and $10 million in FY 2021,"[13] meaning the Companies plan to recover $19,024,000 for those projects and an additional $7,000,000[14] for the Glenwood facility expansion through the Demand Capacity Surcharge Mechanism.

JP continues business of increasing emissions and polluting Environmental Justice communities

The Companies go on to say that "The JP provides funding to KEDNY and KEDLI to operate their gas distribution systems safely and reliably over the three-year term of the rate plans. However, the settlement package outlined in the JP is far from business as usual." [15]

The JP is still "business as usual" and reflects a few incremental changes the Companies feel they have to make in the face of mass public protest to its proposal, changes they should have been making in the previous two rate cases as mounting evidence showed the climate and health impacts of fracked gas.

Over the three rate years in this proposal, the Companies will be *increasing* spending in Customer Connections overtime, spending $95,097,819 in RY3 and $103,849,000 in the stayout year, nearly double the RY1 spending of $50,806,021[16] for KEDNY, while at the same time only committing to a goal of reducing billed gas sales by 0.5% compared to forecasted levels for RY2 and RY3[17] which still leads to an overall *increase* in gas use, thus an increase in greenhouse gas emissions.

Unfortunately the Companies are continuing "business as usual" which for National Grid is trying to hold ratepayers hostage to get approval for unnecessary and expensive fracked gas infrastructure as they did for the Williams NESE Pipeline. This time it's for the MRI Pipeline.

During the recent public hearings Philip Decicco representing National Grid acknowledged many provisions of the proposal were the "right thing to do" and were proof of the Companies' commitment to listening to stakeholder input, however that these provisions could only be achieved through the JP. In other words the only way communities can get basic protections and

[11] JP Appendix 2, Schedule 6, Page 2
[12] JP Page 43, Section 5.3
[13] Second Supplemental of GIOP Page 10
[14] Exhibit_GIOP-SS2 Schedule 2 Page 2
[15] National Grid Statement in Support Page 1
[16] JP Appendix 1, Schedule 5, Page 1
[17] JP Page 75 Section 7.5

assurances on some projects is through a JP that would force customers to accept the rejection of their number one demand and pay for the MRI Pipeline.

But just like communities fought back against National Grid's attempt to pressure New York State into unjustly approving the Williams NESE Pipeline, it is incumbent on the Commission to push back on the argument that these protections can only come through the JP.

Assessing and reducing greenhouse gas emissions is now mandated through the CLCPA and Staff and the Commission can absolutely require the Companies to prove compliance with the law without the JP on any proposed Long-Term Capacity Project. And the Companies can also still choose to reevaluate whether to continue with Phase 5 of the MRI Pipeline taking into account community input, greenhouse gas emissions and need without the JP if it is the right thing to do.

The Companies say they are "very aware of the health and financial impacts that COVID-19 had (and is having) on customers in downstate New York"[18] while failing to address the fact that the business it runs undoubtedly contributed to those health impacts through fossil fuel pollution, and instead of retiring harmful infrastructure they now want to increase the financial impacts on those same communities to pay for more harmful infrastructure.

Two 2020 Harvard studies[19] linked higher COVID mortality rates to communities overburdened by fossil fuel pollution, communities like the ones living next to National Grid's Greenpoint fracked gas storage depot. And a more recent Hardvard study found that pre-COVID fossil fuel pollution led to more deaths than previously estimated[20]. Throughout this case the Companies have failed to address community health concerns about the impacts of fracked gas infrastructure, particularly when it comes to the potential for radon or radioactive elements to be in the gas or build up in the Companies' infrastructure.

When it comes to polluting Environmental Justice communities this JP is more business as usual. In the JP, the Companies committed to "reasonable efforts to prioritize potential projects to transition LPP to NPAs in low income and Environmental Justice communities in all service areas"[21] but no assessments and commitments are made around Environmental Justice communities for the Long-Term Capacity Projects[22].

The Commission does not need a JP though to ensure the Companies comply with the Environmental Justice provisions of the CLCPA.

Stalling on climate action and increasing financial burden for stranded assets

[18] National Grid Statement in Support Page 4
[19] https://www.thecrimson.com/article/2020/11/6/hsph-pollution-covid-19-link/
[20] https://www.seas.harvard.edu/news/2021/02/deaths-fossil-fuel-emissions-higher-previously-thought
[21] JP Page 81 Section 7.5.5
[22] JP Page 42 Section 5.3

The Companies claim to be advancing toward state and city climate goals by including "(i) more than $118 million of funding for energy efficiency and demand response programs; (ii) completing the Newtown Creek renewable gas natural project; (iii) a study to consider the actions necessary to introduce cleaner hydrogen into the system; and (iv) opportunities to deploy geothermal projects as non-pipes alternatives."[23] in the JP. However the money spent on fracked gas projects that will increase emissions greatly dwarfs what is being spent on energy efficiency & demand response. The Companies are requesting more money for work on the MRI Pipeline alone than for these energy efficiency and demand response projects.

Additionally just as fracked gas was never really a cleaner "bridge fuel", but rather an attempt to prolong the survival of the fossil fuel industry, hydrogen is another false solution and a desperate attempt to persuade regulators and ratepayers that there will be a future use for the investments the Companies are committing ratepayers to. A National Grid representative told customers at a Community Board-1 meeting in 2020 that the MRI Pipeline would not become a stranded asset because hydrogen will one day be running through it. [24]

The Companies go on to say "While the LPP program presents the best opportunity to eliminate leaks and reduce methane emissions over the term of the rate plans, the Companies are committing to develop less capital-intensive means of reducing emissions in the coming years."[25] However, as Sane argued in our Initial Brief, reducing Leak Prone Pipe (LPP) is a wholly insufficient way to reduce emission because it does not address upstream emissions and emission caused from burning the gas. The best way to reduce methane emissions in compliance with the CLCPA's requirement to address full lifecycle emissions is to reduce gas use.

The Companies also note that LPP replacement is very costly and that less capital-intensive alternatives to reduce emissions exist. While we're heartened to see a commitment to identify some LPP that could be replaced with a Non-Pipe Alternatives (NPA),[26] the Companies are once again dramatically dwarfing any spending in the positive direction with exorbitant spending that continues to move us in the wrong direction by extending the life and use of fossil fuel infrastructure. The JP would approve $208,634,000 of raterecover for LPP for KEDNY for 2020 and an additional $164,717,000 for FY21, $131,620,000 for FY22, $134,910,000 for FY23 and $153,659,000 for the stayout year. [27] And for KEDLI the JP would approve $69,897,000 for 2020, and an additional $50,306,000 for FY21, $ 61,043,000 for FY22 $ 57,466,000 for FY 23 and $ 51,136,000 for the stayout year. [28]

The Companies say they intend to replace 650 miles of LPP over the period covered by the JP.[29] That is 650 miles and $792,540,000 for KEDNY and $289,983,000 for KEDLI worth of

[23] National Grid Statement in Support Page 7
[24] Exhibit_Sane 2
[25] National Grid Statement in Support Page 7
[26] JP Page 50, Section 5.3.2
[27] JP Appendix 1, Schedule 5, Page 1
[28] JP Appendix 2, Schedule 5, Page 1
[29] National Grid Statement in Support Page 8

stranded assets over 5 years and another unfortunate continuation of climate denial business as usual.

The Companies went on to say, “For the stakeholders that think the Companies should be doing more to encourage the transition to clean energy, the JP provides that the Companies will manage their business with the goal of reducing billed gas usage, not engage in gas marketing activities, terminate any gas conversion and other incentive programs, and work with various partners (e.g., electric utilities and trade organizations) to promote the adoption of geothermal and other alternative energy options.” [30]

As noted above, by 2024 the Company will be spending twice what they are spending this year on customer connections and hundreds of millions of dollars extending the life of fracked gas infrastructure. Yes we think the Companies should be doing more because that is what climate science and city and state law say are necessary. A commitment to reduce gas by 0.5% compared to forecasted levels for RY2 and RY3[31] that still leads to an overall increase is a commitment that does not go far enough to align with climate law and science and is more stalling on climate action.

The Companies claim that in order to minimize financial impact they are “removing more than $1.5 billion of capital investments over a three-year period”[32] which shows the original proposal was bloated with unneeded investments to start with and should give the Commission further ground to question the need for investments still in the proposal.

MRI Pipeline

Commenting on the most controversial project in the JP, the Companies said the proposal “reflects the feedback of the parties and other commentators regarding large infrastructure projects, and specifically the final phase of the KEDNY’s Metropolitan Reliability Infrastructure (“MRI”) project. In response to stakeholder feedback, KEDNY voluntarily suspended construction of Phase 5 in 2020, and the settlement provides that KEDNY will not resume work unless and until the Commission approves the project.”[33]

We strongly disagree that the JP reflects stakeholder feedback on the MRI Pipeline. Thousands of community members submitted public comments demanding that not a single dollar of rate recovery should be approved for any phase of the MRI Pipeline, including for the opposed work that happened in 2020 on MRI Phases 1 & 4. The Companies only suspended construction on MRI Phase 5 after community members were forced to commit civil disobedience to halt construction of the project, and after Staff recommended the Companies pause construction on

[30] National Grid Statement in Support Page 11
[31] JP Page 75 Section 7.5
[32] National Grid Statement in Support Page 5
[33] National Grid Statement in Support Page 10

MRI Phase 5 and that rate recovery for that phase of the pipeline should only be granted once "supply options have been vetted"[34].

The Companies reference its 2016 rate case as evidence that customers should pay for work done on the MRI pipeline in 2020 saying "After undergoing thorough review in those cases, DPS Staff supported the MRI Project and the Joint Proposal adopted by the Commission in Case 16-G-0058 et al. authorized funding for the project of more than $220 million through calendar year 2020 as part of KEDNY's capital investment plan, with the bulk of the project forecast to be placed in-service by late 2020. Construction on the initial three phases commenced in 2017 and was completed in 2019." [35]

Adding "Specifically, the Joint Proposal adopted in the 2016 KEDNY and KEDLI Rate Cases authorized rate recovery of capital spending levels for the MRI project of $46.819 million, $61.692 million, $56.721 million, and $54.050 million in CY 2017, CY 2018, CY 2019, and CY 2020, respectively. See 2016 Joint Proposal, Appendix 1, Schedule 5, Page 1 of 1." [36]

The communities that will be impacted by the MRI Pipeline were never consulted or gave consent in 2016. Furthermore the JP in Case 16-G-0058 defines "Rate Year One to mean January 1, 2017 through December 31, 2017. Rate Year Two means January 1, 2018 through December 31, 2018. And Rate Year Three means January 1, 2019 through December 31, 2019." Rate recovery for 2020 was never approved. Furthermore the Companies have spent far more in 2020 on MRI Phase 1-4 than they claim was approved in 2016 for 2020, asking for $91,802,000 and an additional $ 34,900,000 for 2021 in the JP[37].

While the CLCPA had not yet been passed in 2016, New York State had already banned fracking because of its environmental, health and climate impacts and had set goals through the Reforming the Energy Vision (REV) program of 40% reduction in greenhouse gas emissions from 1990 levels, 50% of energy generation from renewable energy sources, 600 trillion Btu increase in statewide energy efficiency which were then amended to be strengthened in 2019 after the passage of the CLCPA to reflect a 40% reduction in GHG emissions by 2030, 85% reduction in GHG emissions by 2050, whereby the Public Service Commission is directed to implement the clean energy program and technology goals stipulated in the CLCPA[38].

The MRI pipeline was not in line with the goals of REV in 2016 and does not comply with the CLCPA now.

Long-term capacity projects

[34] DPS Reply Brief April 2020 Page 39
[35] National Grid Statement in Support Page 60
[36] National Grid State in Support Page 61, Footnote 149
[37] JP Appendix 1, Schedule 5, Page 1
[38] https://energyplan.ny.gov/-/media/nysenergyplan/meeting/2015-SEP-Amendment.pdf

The Companies said the provisions in the JP around the Long-Term Capacity Projects, “represent unprecedented commitments designed to ensure that new capacity infrastructure will only be constructed when it is clearly the best alternative.”[39]

However the provisions outlined in Section 5.3 of the JP should not be unprecedented commitments. They are what Staff and the Companies should have always been doing to ensure the physical and financial well being of customers and have been legally mandated to do by the CLCPA since 2019. And in fact, the provisions in the JP fall short of the legal mandates of the CLCPA because as mentioned above, there are no assessments to determine impacts of projects on disadvantaged Environmental Justice communities.

Assessing the impact on Environmental Justice communities is especially crucial for projects like the Companies’ proposed new Vaporizer 13 & 14 and Vaporizers 7 & 8 replacement at their Greenpoint facility.

The Companies claim to “support this additional layer of review and stakeholder engagement because they appreciate the need for transparency and public input on these important projects”[40] but as Cooper Park Resident Council Vice President, Elisha Fye, testified to at the Department of Environmental Conservation hearing on the LNG vaporizers on March 10, 2021, National Grid has done no engagement with the community closest to its facility.

Fye said,“I am very appalled that we was not even notified until a month ago that all this was going on right in our community...This is something that must be stopped and must be stopped immediately. We cannot go on like this living life in fear because of big companies doing harm to our community”[41]

The input of the Environmental Justice communities like Cooper Park Resident Council, which represents 701 families living within half a mile of the Companies’ Greenpoint LNG facility, is that the facility should be retired, and tens of millions of ratepayer dollars should not be spent extending the life of the facility or increasing output.

Additionally, language inserted into the JP stating that some costs[42] can be recovered for these projects regardless of need shows the Companies’ blatant disregard to be a utility in service to a community. It is clear that the model of their business goals is not to be a service utility but beguilers taking advantage of their monopoly status to defraud the public.

We find this provision to allow cost recovery particularly troubling given the Companies’ record of starting to spend large sums of money before permits are even granted.

[39] National Grid State in Support Page 58
[40] National Grid Statement in Support Page 46
[41] Exhibit_Sane 11.1 Pages 63-65
[42] JP Page 46

For example, the JP includes $793,000 of rate recovery for the Truck Load/Unload Station. This is one of many projects at the Greenpoint LNG facility that is being opposed by the community and that the Companies do not have all it's permits for[43]. The Companies have been seeking approval from the City of New York Fire Department (FDNY) since their 2016 rate case for this project[44] and as noted in the Companies' December 2019 Second Supplemental testimony would require a variance to law that currently prohibits LNG trucks in NYC[45].

According to the independent monitor in Case 19-G-0678 "National Grid had assigned a target date of July 14, 2020 for the LNG MOU, which was not met."[46]

In all these years they have not received the FDNY approval or variance and with the rise in public opposition to the project, there is no indication that they will ever receive the variance, in which case they will not be able to use the Truck Load/Unload Station yet ratepayers will still be stuck paying for it.

The provisions of the JP do not go far enough to ensure a project is needed and will be used, and in fact rewards the Companies for going ahead with spending before a project even receives all its permits.

Reply to Staff

MRI Pipeline

As multiple statements in opposition to the JP argued, the Staff, despite being paid by ratepayer tax dollars and existing to serve ratepayers, has failed to protect the public and our interests in this case.

Nowhere is this clearer than the MRI Pipeline.

On the provision of the JP which temporarily halts construction of Phase 5 of the MRI pipeline staff said "This provision provides a reasonable path forward on a complex and divisive issue, ensuring that KEDNY completes no additional work on the project at present, while allowing KEDNY the opportunity to revisit the project if it can demonstrate the need for the project to ensure the continued provision of safe and reliable service to customers."[47] and that "This provision directly responds to the positions of certain parties to these proceedings who opposed MRI Phase 5."[48]

Parties in this case and thousands of public comments did not just oppose MRI Phase 5 but also spending on MRI Phase 1-4 in 2020. The Staff's response and this JP, completely fail to

[43] Exhibit_Sane 15
[44] KEDNY June 2016 Rebuttal Testimony Page 25 Case 16-G-0058
[45] KEDNY December 2019 SS GIOP Testimony Page 14
[46] National Grid Monitorship: Fifth Quarterly Report Case 19-G-0678
[47] Staff Statement in Support Page 12
[48] Staff Statement in Support Page 11

address the position of parties, community members and over a dozen elected officials who have submitted comments in this proceeding or made public statements on the project.

Staff's position to support charging customers $128,XX,XXX for a pipeline transversing their communities that they vehemently oppose alongside the Mayor of New York and every elected official from the affected districts is not reasonable.

There is no need for a brand new fossil fuel pipeline in 2021 and leaving MRI Phase 5 on the table for the Companies to "revisit" is unacceptable. This provision is too little, too late, and voids responsibility of the regulators of a monopoly utility.

What the Staff and Companies have agreed upon in the JP is the process they should have conducted in 2016. Yet, despite a ban on fracking and mounting evidence on the health and climate impacts of fracked gas, the Staff required no greenhouse gas emission assessment for this project, no assessment of its impacts on environmental justice communities and along with the Companies sought no input from stakeholders along the pipeline route.

And they would not be proposing it now, even though doing so is legally mandated by the CLCPA, if not for the position of certain parities.

The Staff did not begin to question the need for MRI Phase 5 until the spring of 2020, after community members had already been arrested for shutting down construction of MRI Phase 4 and multiple parties in Case 19-G-0678 had submitted reports questioning the Companies' overall statements on demand.

It has taken community groups of volunteers needing to intervene in multiple proceedings and take time away from their work and families to read through hundreds of pages of hard to access documents, seek out experts to confer with for advice, and hold fundraisers for outreach materials to notify the community of what National Grid is actually doing in our state.

Additionally, this issue is not complex. It is simply a corporation installing a dangerous and toxic project into a community for profit.

Long-Term Capacity Projects

Like the Companies, the Staff also argues that the provisions of the JP that require that "the Companies must make an additional demonstration of the need for these projects. That need must be confirmed by an independent consultant working at the direction of Staff. If the independent consultant assesses the projects and concludes that any of them are not required to ensure the reliability of the systems, then the Companies are precluded from recovering the costs of those unneeded projects from customers. Second, the Companies must meet certain energy efficiency, demand response, and electrification targets, or have the recoverable costs of these projects limited until the Commission next sets base rates. Tying cost recovery of projects that are deemed necessary to provide safe and adequate service to the Companies'

performance on these metrics is unprecedented. This rigorous process is, quite simply, impossible outside of this Joint Proposal." [49]

We disagree that a process that would hold the Companies accountable to meeting energy efficiency, demand response, and electrification targets is impossible outside the JP. Most of the energy efficiency targets were set through another proceeding before the Commission and the Commission could finally make a public ruling in Case 19-G-0678 requiring that the Companies not move forward with any fracked gas project until after all energy efficiency, demand response, and electrification targets are met.

We also disagree with Staff's assessment that the Long-Term Capacity Projects are "indeed needed to ensure system reliability at peak customer demand."[50]

National Grid claims to need Vaporizer 13 & 14 at their Greenpoint LNG storage facility in order to meet future demand but last year the Company only utilized 12% of the available tank volume during the 2020-2021 winter[51], 1% of available tank volume during the 2019-2020 winter and 10% in 2018-2019 winter[52].

As noted in Sane's Statement in Opposition, as well as a number of other parties' statements, multiple reports filed in Case 19-G-0678 found there was no need for any new fracked gas project to meet long-term demand.
Additionally in Case 19-G-0678 the independent monitor filed multiple reports that showed the Companies simply move their "need" date when they fail to complete projects on time saying "National Grid has extended the target dates for multiple milestones of key projects under the Revised Action Plan, which raises questions as to the value, accuracy and reliability of the original target dates and as to the reporting around the progress achieved by National Grid."[53] and "In the Monitor's view, the delay of Vaporizers 11 and 12 and the update to the Revised Action Plan illustrate National Grid's continuing to miss key milestones on a project while nevertheless maintaining that all is well because, according to National Grid, the project will be completed by the ultimate time it is truly "needed."[54]

As the independent monitor points out the Companies will not meet their original "needed" in service date for Vaporizers 13 & 14 because they still do not have a DEC air permit to start construction "By mid-December 2020, as National Grid began to realize that it was unlikely to receive the air permit by January 15, 2021, National Grid's project management team reviewed its construction plans and "re-phased" the project timeline for Vaporizers 13 and 14. As a result of this review, National Grid now targets obtaining the DEC permit so that construction can begin on July 1, 2021 (if the permit is granted), and Vaporizers 13 and 14 can be in-service by December 2022, which is a full year later than previously projected. Meanwhile, National Grid

[49] Staff Statement in Support Page 12
[50] Staff Statement in Support Page 12
[51] Sane_Exhibit 13
[52] Sane_Exhibit 17
[53] National Grid Monitorship: Fifth Quarterly Report Case 19-G-0678
[54] National Grid Monitorship: Seventh Quarterly Report Case 19-G-0678

maintains that under its current demand forecast, the actual “need” date for Vaporizers 13 and 14-- i.e. the date by which National Grid will need the incremental supply from Vaporizers 13 and 14 in order to meet projected design day demand -- is Winter 2023/2024.”

It is absurd and a derelict of duty that Staff is not questioning the need for Vaporizers 13 & 14 since the Companies so frequently and flippantly “re-phase” project timelines.

Staff should also absolutely be questioning the need for the Truck Load/Unload Station since National Grid staff Chris Connolly said recently during a presentation before Brooklyn Community Board-1 on May 27, 2021 that “there’s been a number of years since the 70’s” that the Companies have had an “inability to truck LNG in NYC”[55]. That means that they have not been able to or “needed” to use the now decommissioned Truck Load/Unload Station in five decades and as we transition off fracked gas to meet our climate goals there will definitely be no need for a new Truck Load/Unload Station.

We are deeply concerned with the Staff's lack of questioning of National Grid’s statement on need since it will be the Staff and the Companies who choose a consultant to determine need under this JP.

Staff went on to say that “Section IV.7.5 of the Joint Proposal sets forth a number of provisions that are not reasonably possible through a litigation track resulting in a one-year rate plan. In Section IV.7.5 of the Joint Proposal, the Companies commit to operating their systems with the goal of reducing billed gas sales by 0.5% compared to forecasted levels for RY2 and RY3. “

We disagree with Staff’s argument that this JP is the only way to ensure the Companies commit to a goal of reducing forecasted billed gas sales. The CLCPA requires the company to dramatically reduce emissions. As Sane has outlined in our testimony throughout this case, it is impossible to meet the mandated goals of the CLCPA without reducing gas use. Leak prone pipeline replacement is not enough. The Commission does not need this JP to enforce the mandates of the CLCPA and should reject the JP because it allows the company the Company to commit to a reductional goal that still leads to an overall increase in gas while continuing to spend more every year on customer connections and bringing new capacity projects online that will also increase emissions.

Comment on breadth of opposition

Both the Staff and Companies said there is broad and diverse support for this JP. That is false as there is rather broad and diverse opposition, both from parties in the case and from ratepayers. 24 Parties have filed opposition to the JP’s approval, compared to only five in support of the JP.

Most notable is opposition from the City of New York, which represents a large percentage of KEDNY's customers and is a larger user of gas themselves. We agree with the City’s

[55] 34:02 Community Board 1 Meeting https://www.youtube.com/watch?v=-5B5kMOI7D0&t=6146s

assessment that the JP disincentivizes the transition off fossil fuels that is legally required by both City and State climate laws. We have similar concerns that the JP moves responsibility of the Staff and Commission to a third-party consultant, and that additional charges, especially in the stayout year, are not in the interest of the public.

A number of statements in opposition and neutrality also echoed the concern that the independent consultant, as presently proposed, voids the ability for the public to have democratic accountability, and that the chosen person must be selected with criteria of renewable engineering and expertise in alternative to fossil fuels.

The broad opposition to this proposal can best be seen though in the thousands of public comments that ratepayers from all walks of life have submitted in this case and provided orally at the public hearings. There are comments from young people concerned about climate change. There are comments from community elders who say they cannot handle more poisonous infrastructure after decades of seeing their communities and loved ones suffer from over-burdened health detriments.

While opposition to this JP is very strong in North Brooklyn where the MRI and LNG projects are located, there is consistent opposition and comments from elected officials and community members throughout the Companies' service territory.

We agree with All Our Energy, a Long Island based advocacy organization, in their Statement in Opposition which said the JP lacks regard for public safety and financial accountability to customers regarding rate recovery of the CNG projects on Long Island in addition to not accounting for greenhouse gas emissions that are mandated by law for reduction.

There are also many comments from residents of Long Island opposing the CNG projects and any new fracked gas infrastructure there, as well as comments from residents of Staten Island and Rockaway, Queens who were strongly opposed to the Williams NESE Pipeline and now oppose paying for any of National Grid's fracked gas alternatives to meet long-term demand.

Much of the public comments opposing the projects in the JP focus on how the projects continue a racist history of building polluting infrastructure in predominantly Black and Brown communities. As the massive social movements that filled the streets of NYC last summer showed, Environmental Justice is a primary concern for many people living in National Grid's downstate territory. National Grid recently declared Juneteenth a Company holiday saying "Declaring Juneteenth a company holiday is a symbol of our dedication to honoring Black Americans who have suffered the impacts of racism throughout US history."[56]

By ignoring thousands of public comments National Grid has shown they are only symbolically committed to honoring Black Americans while actually perpetuating the racist history of the US by building polluting infrastructure in Black communities.

[56] https://www.csrwire.com/press_releases/723761-national-grid-names-juneteenth-company-holiday-us

We urge the Commission to read all the broad and diverse public comments, and listen to the statements made by BIPOC community members at rallies and protests in Brownsville and Bushwick, Brooklyn against the MRI Pipeline. We urge the Commission to do more than National Grid's symbolism and actually protect BIPOC communities by rejecting the JP.

The Commission should also take into account the broad opposition to the Companies' Long-Term Capacity Projects from parties in Case 19-G-0678 including National Resource Defense Council, NY Renews and Surfrider Foundation, NYC Chapter.

Finally, we'd like to comment that Sane's statement in opposition and ability to produce evidence and testimony throughout this rate case has been severely limited by capacity. We know that is even more true for parties who are completely volunteering their time to participate in this proceeding. We've been forced to choose to focus our attention on a few projects while knowing the cost and climate implications of many smaller fracked gas projects is adding up without facing opposition. We are deeply frustrated that the burden to hold a multinational corporation accountable to city and state law as well as community demands has fallen to volunteers and small non-profit organizations when our taxpayer dollars fund the Department of Public Service to do that job.